Economy Topic 10 — International Financial Institutions, Economic Groupings and Global Summits

Comprehensive Study & Revision Notes

Syllabus Coverage (click to expand)

Bretton Woods Institutions (IMF & World Bank Group: IBRD, IDA, IFC, MIGA, ICSID) | Special Drawing Rights (SDR) & Quota System | Multilateral Development Banks (ADB, AIIB, NDB) | Major plurilateral economic groupings (BRICS, G20, G7) | Regional organisations (ASEAN, SAARC, BIMSTEC, SCO) | OECD & World Economic Forum (WEF) | Global summitry, ministerial venues, and flagship economic reports

Key Reference Framework: Bretton Woods Agreements (1944), IMF Articles of Agreement, World Bank Group Operational Policies, Ministry of External Affairs (MEA) Multilateral Briefs, and State Public Service Commission Examination archives. **Exam Weightage:** High — Repeatedly tested on headquarters of international financial institutions (IMF, World Bank, ADB, AIIB, NDB), G20 summitry and iconography, BRICS historical expansion, BIMSTEC and SAARC member compositions, and institutional publication sources.

Current Affairs & Key Indicators

Year / Grouping	Key Development & Core Parameter	Analytical & Policy Significance
Bretton Woods Headquarters	Both the **IMF** and the **World Bank** are permanently headquartered in **Washington D.C.**	Established simultaneously at the 1944 Bretton Woods Conference; neither institution is headquartered in New York (which hosts the UN Secretariat).
BIMSTEC Membership	Comprises seven littoral Bay of Bengal nations: Bangladesh, Bhutan, India, Myanmar, Nepal, Sri Lanka, and Thailand.	**Indonesia is not a member** of BIMSTEC (it is an ASEAN member). Permanent Secretariat is located in **Dhaka, Bangladesh**.
India's G20 Presidency (2023)	Official logo featured a sacred lotus with **seven petals**, symbolizing the **seven continents** and universal harmony.	Adopted the civilizational theme *Vasudhaiva Kutumbakam* ("One Earth, One Family, One Future"). The African Union was inducted as a permanent member.
G20 Host Cities in Uttar Pradesh	Official G20 working group and ministerial meetings in UP were hosted across **Varanasi, Agra, Lucknow, and Greater Noida**.	**Kanpur** was not among the designated venue cities during India's G20 Presidency.

Year / Grouping	Key Development & Core Parameter	Analytical & Policy Significance
G20 Summit Chronology (2023–2026)	18th in **New Delhi (India, 2023)** → 19th in **Rio de Janeiro (Brazil, Nov 2024)** → 20th in **South Africa (2025)** → 21st in **United States (2026)**.	Demonstrates the historic Global South Troika (Indonesia → India → Brazil → South Africa).
BRICS Kazan Summit & Expansion	16th Summit held in **Kazan, Russia (October 2024)** under theme *"Strengthening Multilateralism for Just Global Development and Security"*; integrated Egypt, Ethiopia, Iran, UAE, and introduced **13 Partner Countries**.	17th BRICS Summit hosted by **Brazil in 2025**.
SCO 10th Member & Astana Summit	**Belarus** officially inducted as the **10th member state** at the Astana Summit (Kazakhstan, July 2024).	Follows Iran's admission as the 9th member in 2023 under India's virtual chairmanship. 25th Summit in China (2025).
WTO Ministerial Conferences (MC-13 & MC-14)	MC-13 convened in **Abu Dhabi (UAE)** in Feb–Mar 2024; MC-14 officially scheduled for **Yaoundé, Cameroon in 2026**.	Cameroon is only the **second African nation** in WTO history to host a Ministerial Conference (following Kenya in 2015). Permanent HQ remains in Geneva.
5th & 6th BIMSTEC Summits	5th Summit hosted virtually by **Sri Lanka** (2022); 6th Summit convened in **Bangkok, Thailand (2024)**.	Addressed by Prime Minister Narendra Modi; Secretariat located in **Dhaka, Bangladesh**.
Institutional Secretariats	ASEAN Secretariat in **Jakarta**; SAARC Secretariat in **Kathmandu**; BIMSTEC Secretariat in **Dhaka**; OECD in **Paris**.	Critical match-list parameters frequently tested in State PSC Prelims examinations.

10.1 The Bretton Woods Institutions — IMF and the World Bank Group

In July 1944, delegates from 44 Allied nations convened at the Mount Washington Hotel in Bretton Woods, New Hampshire, to construct a stable international monetary and financial framework following the devastation of the Great Depression and World War II.

Foundational Architecture

- **The Bretton Woods Twins:** The conference led to the creation of the **International Monetary Fund (IMF)** and the **International Bank for Reconstruction and Development (IBRD)**.
- **Dual Headquarters:** Both institutions maintain their headquarters in **Washington D.C.**, situated adjacent to each other to foster continuous operational coordination.
- **Distinction from the United Nations Secretariat:** While both the IMF and the World Bank are specialized agencies within the broader United Nations system, their governing secretariats are stationed in Washington D.C., whereas the primary UN Headquarters is located in New York City.

The International Monetary Fund (IMF)

- **Mandate:** Preserves international monetary stability, promotes orderly exchange rate arrangements, and provides balance of payments financial support.
- **Surveillance:** Conducts mandatory multilateral and bilateral economic health checks of member states under **Article IV Consultations**.
- **Financial Assistance:** Extends conditional loans to **sovereign member nations** experiencing current account and balance of payments deficits; it does not lend to non-members or private corporations.
- **Special Drawing Rights (SDR):** An international supplementary reserve currency whose valuation is determined by a daily basket of five major convertible currencies: US Dollar (43.38%), Euro (29.31%), Chinese Yuan (12.28%), Japanese Yen (7.59%), and British Pound (7.44%).
- **Quotas and Governance:** Each member country is assigned a financial quota based on its relative economic size; quotas determine financial contributions, voting power, and maximum borrowing limits. The United States holds approximately 16.5% of the total voting power, exercising an effective veto over major structural decisions that require an 85% majority.

The World Bank Group (WBG)

The World Bank Group comprises five complementary international development organizations:

Organization	Established	Primary Institutional Mandate & Operational Focus
IBRD (International Bank for Reconstruction and Development)	1944	Provides commercial-rate development loans and guarantees to creditworthy middle-income developing governments.
IDA (International Development Association)	1960	The World Bank's concessional "soft-loan window," providing zero-interest credits and non-repayable grants to low-income nations.
IFC (International Finance Corporation)	1956	Provides loans, equity financing, and advisory services directly to **private sector enterprises** in developing economies without sovereign guarantees.
MIGA (Multilateral Investment Guarantee Agency)	1988	Offers political risk insurance (expropriation, war, currency inconvertibility) to foreign investors and commercial lenders.
ICSID (International Centre for Settlement of Investment Disputes)	1966	Administers international arbitration and conciliation for disputes between foreign investors and sovereign states. India is not a member.

Q-EC1. UPPCS (Pre) 2025

With reference to World Bank and International Monetary Fund, which of the following statements is/are correct?

1. The World Bank and International Monetary Fund were set up together and are popularly known as Bretton Woods Twins.
2. Headquarters of International Monetary Fund and World Bank are located at Washington D.C. and New York respectively.

Select the correct answer from the code given below:

A. Only 2 B. Neither 1 nor 2 C. Both 1 and 2 D. Only 1

Show answer

Explanation: Statement 1 is correct: Both the World Bank (IBRD) and the International Monetary Fund (IMF) were conceived simultaneously at the Bretton Woods Conference in New Hampshire in July 1944, earning them the historical title "Bretton Woods Twins." Statement 2 is incorrect: Both the IMF and the World Bank have their headquarters located in Washington D.C.; New York City hosts the United Nations Headquarters. **Ans: D.** Only 1

Q-EC2. UKPCS (Pre) 2021

Which one is correct about IMF?

A. It grants loan to any country. B. It grants loan to only developing countries. C. It grants loan to only member countries. D. It grants loan to the Central Bank of a country.

Show answer

Explanation: Under the IMF Articles of Agreement, the financial resources of the Fund can be accessed exclusively by sovereign member countries that have joined the organization and contributed their assigned quotas. The IMF does not lend to non-members, and its facilities are available to any member country facing balance of payments distress (including developed nations), provided they accept agreed macroeconomic conditionalities. **Ans: C.** It grants loan to only member countries.

10.2 Regional and Plurilateral Multilateral Development Banks

- **Asian Development Bank (ADB):** Founded in **1966**; headquartered in **Mandaluyong (Metro Manila), Philippines**; models its governance on the World Bank, with Japan and the United States holding the largest shareholdings.
- **Asian Infrastructure Investment Bank (AIIB):** Founded in **2016** with headquarters in **Beijing, China**; established to finance energy, transport, and telecommunications infrastructure across Asia; India is a founding member and the second-largest shareholder.
- **New Development Bank (NDB):** Conceptualized at the 2012 New Delhi BRICS Summit and established at the 2014 Fortaleza Summit; headquartered in **Shanghai, China**; finances infrastructure and sustainable development projects in BRICS members and emerging economies.

10.3 BRICS — Evolution, Expansion, and Financial Architecture

- **Origins:** British economist **Jim O'Neill** coined the acronym **"BRIC"** in a 2001 Goldman Sachs publication (*Building Better Global Economic BRICs*), highlighting the rising economic weight of Brazil, Russia, India, and China.

- **First Formal Summit:** The foreign ministers began meeting in 2006, leading to the inaugural BRIC Heads-of-State Summit on **16 June 2009** at **Yekaterinburg, Russia**.
- **South Africa's Entry:** South Africa was admitted in **December 2010**, expanding the acronym to **BRICS** and attending the 3rd Summit at Sanya, China in 2011.
- **10th Summit:** Hosted in **Johannesburg, South Africa** in **July 2018**.
- **Institutional Pillars:** 1. **New Development Bank (NDB):** Multilateral lending bank with an initial authorized capital of USD 100 billion, headquartered in Shanghai. 2. **Contingent Reserve Arrangement (CRA):** A USD 100 billion framework providing mutual short-term foreign exchange liquidity to members facing global financial shocks.
- **Expansion Waves:** At the 15th Summit in Johannesburg (2023), BRICS approved membership invitations, formally admitting **Egypt, Ethiopia, Iran, and the United Arab Emirates** on 1 January 2024, followed by **Indonesia** in 2025.
- **16th BRICS Summit (Kazan, Russia — 22–24 October 2024):** Held under the presidency of Russia with the theme *"Strengthening Multilateralism for Just Global Development and Security"*. Adopted the **Kazan Declaration**, welcomed the newly expanded members, and officially endorsed the creation of a **"Partner Country"** category with 13 partner nations (including Algeria, Belarus, Bolivia, Cuba, Indonesia, Kazakhstan, Malaysia, Nigeria, Thailand, Turkey, Uganda, Uzbekistan, and Vietnam).
- **17th BRICS Summit:** Scheduled to be hosted under the rotating presidency of **Brazil in 2025**.

Q-EC3. UKPCS (Pre) 2016

Who coined the term ‘BRICS’ in 2001?

A. Jim O’Neill B. Barack Obama C. John Kennedy D. Vladimir Putin

Show answer

Explanation: The term "BRIC" was coined in 2001 by Jim O'Neill, then Chief Economist at Goldman Sachs, in his seminal research paper analyzing the rapid projected economic growth of Brazil, Russia, India, and China over the 21st century. **Ans: A.** Jim O’Neill

Q-EC4. UKPCS (Pre) 2016

In which year ‘BRIC’ grouping was formed as ‘BRICS’?

A. 2010 B. 2015 C. 2009 D. 2012

Show answer

Explanation: The grouping initially formed as "BRIC" in 2009. In December 2010, South Africa was formally invited to join the alliance, officially transforming the grouping into "BRICS". South Africa participated as a full member for the first time at the Sanya Summit in China in April 2011. **Ans: A.** 2010

Q-EC5. UPPCS (Pre) 2018

The 10th 'BRICS' Summit 2018 was held in which of the following countries?

A. Brazil B. South Africa C. Russia D. China

Show answer

Explanation: The 10th annual BRICS Summit was held from 25 to 27 July 2018 in Johannesburg, South Africa, under the theme "BRICS in Africa: Collaboration for Inclusive Growth and Shared Prosperity in the 4th Industrial Revolution." **Ans: B.** South Africa

Q-EC6. UKPCS (Pre) 2024

BRICS is important in the global economy. Which of the following statements about BRICS is NOT correct?

A. It represents more than 40 percent of the global population. B. It represents around 24 percent of the world GDP. C. It represents around 46 percent of global trade. D. The first BRICS Summit was held in 2009 in Russia.

Show answer

Explanation: In traditional economic statistics, the founding BRICS countries represented over 41% of the world's population, approximately 24% of global nominal GDP, and about 16–18% of global merchandise trade. The assertion that BRICS accounts for approximately 46% of global trade is vastly overstated and incorrect. Statement D is correct: the first official summit was convened in Yekaterinburg, Russia, in 2009. **Ans: C.** It represents around 46 percent of global trade.

10.4 The Group of Twenty (G20) and Group of Seven (G7)

Group of Twenty (G20)

- **Formation:** Established in 1999 as a consultative forum for finance ministers and central bank governors following the Asian financial crisis; elevated in 2008 to a summit-level meeting of heads of state to coordinate the global response to the Great Recession.
- **Composition:** Comprises 19 sovereign nations (Argentina, Australia, Brazil, Canada, China, France, Germany, India, Indonesia, Italy, Japan, Republic of Korea, Mexico, Russia, Saudi Arabia, South Africa, Turkey, United Kingdom, United States) plus the **European Union (EU)**, and the **African Union (AU)** admitted in 2023.
- **India's G20 Presidency (1 December 2022 – 30 November 2023):**
- Leaders' Summit convened at the Bharat Mandapam, New Delhi, on 9–10 September 2023.
- Theme: *Vasudhaiva Kutumbakam* ("One Earth, One Family, One Future").
- Iconography: Earth superimposed on a blooming lotus with **seven petals representing the seven continents** and the universal musical notes.
- Uttar Pradesh Host Cities: Four cities hosted 11 G20 engagement and working group sessions: **Varanasi, Agra, Lucknow, and Greater Noida** (excluding Kanpur).

Group of Seven (G7)

- An informal bloc of advanced industrialized liberal democracies established in 1975: **Canada, France, Germany, Italy, Japan, the United Kingdom, and the United States**.
- Russia was admitted in 1997 forming the G8, but was suspended in 2014 following the annexation of Crimea.
- **Recent & Upcoming G20 Leaders' Summits:**
- **18th Summit (2023):** New Delhi, India (Bharat Mandapam) — inducted the African Union.
- **19th Summit (18–19 November 2024): Rio de Janeiro, Brazil** (Presidency of President Lula da Silva; theme *"Building a Just World and a Sustainable Planet"*).
- **20th Summit (2025): South Africa** (first time hosted on the African continent).
- **21st Summit (2026): United States**.
- **Recent & Upcoming G7 Summits:**
- **49th G7 Summit (May 2023):** Hiroshima, Japan.
- **50th G7 Summit (13–15 June 2024): Borgo Egnazia (Apulia), Italy** under Prime Minister Giorgia Meloni; addressed by PM Narendra Modi as an outreach guest.
- **51st G7 Summit (2025): Kananaskis, Alberta, Canada**.
- **52nd G7 Summit (2026): France**.

Q-EC7. UPPCS (Pre) 2023

With reference to India's G20 Logo, which of the following statements is/are correct?

1. The logo has a lotus with seven petals.
2. The seven petals represent the seven continents.

A. Only 1 B. Only 2 C. Both 1 and 2 D. Neither 1 nor 2

Show answer

Explanation: Both statements are correct. India's official G20 logo juxtaposes the national flower, the lotus, with planet Earth. The lotus features seven petals, which symbolize the seven continents of the world as well as the seven notes of universal music, reflecting global unity and harmony. **Ans: C.** Both 1 and 2

Q-EC8. UPPCS (Pre) 2023

Which of the following cities of Uttar Pradesh was not included as a venue for the 11 meetings of the G20 during India's Presidency?

A. Agra B. Varanasi C. Kanpur D. Greater Noida

Show answer

Explanation: During India's G20 Presidency, 11 ministerial and working group meetings were organized across four designated cities in Uttar Pradesh: Varanasi, Agra, Lucknow, and Greater Noida. Kanpur was not included among the venue cities. **Ans: C.** Kanpur

10.5 Regional Groupings — ASEAN, SAARC, BIMSTEC, and SCO

Association of Southeast Asian Nations (ASEAN)

- Founded on **8 August 1967** via the Bangkok Declaration by Indonesia, Malaysia, the Philippines, Singapore, and Thailand.
- Comprises **ten member nations**; permanent Central Secretariat is located in **Jakarta, Indonesia**.
- India is a Strategic Dialogue Partner, engaging through annual ASEAN–India Summits and the East Asia Summit (EAS).

South Asian Association for Regional Cooperation (SAARC)

- Established on **8 December 1985** in Dhaka; permanent Secretariat located in **Kathmandu, Nepal** (opened 1987).
- Eight Member States: Afghanistan (joined 2007), Bangladesh, Bhutan, India, Maldives, Nepal, Pakistan, and Sri Lanka.
- The **first SAARC Summit in India** took place in **Bangalore in November 1986** (the second SAARC summit historically).

Bay of Bengal Initiative for Multi-Sectoral Technical and Economic Cooperation (BIMSTEC)

- Founded on **6 June 1997** through the Bangkok Declaration.
- Seven Member States: **Bangladesh, Bhutan, India, Myanmar, Nepal, Sri Lanka, and Thailand**.
- Connects South Asia with Southeast Asia; **Indonesia is not a member**.
- Permanent Secretariat was established in **Dhaka, Bangladesh** in **2014**.
- The **5th BIMSTEC Summit (30 March 2022)** was hosted and chaired virtually by **Sri Lanka** (Colombo); Prime Minister Narendra Modi addressed the session.
- The **6th BIMSTEC Summit (2024)** was held in **Bangkok, Thailand**.

Shanghai Cooperation Organisation (SCO)

- Established in **2001** in Shanghai; permanent Secretariat located in **Beijing, China**; Executive Committee of the Regional Anti-Terrorist Structure (RATS) located in **Tashkent, Uzbekistan**.
- **Founding Members (Shanghai Five + Uzbekistan):** China, Kazakhstan, Kyrgyzstan, Russia, Tajikistan, and Uzbekistan.
- **Expansion Chronology:**
- **India and Pakistan** joined as full members simultaneously at the **Astana Summit in Kazakhstan in June 2017**.
- **Iran** was officially admitted as the **9th full member state** at the 23rd SCO Summit hosted virtually by India in **July 2023**.
- **Belarus** was officially admitted as the **10th full member state** at the 24th SCO Summit in **Astana, Kazakhstan in July 2024**.
- The **25th SCO Summit (2025)** is scheduled to be hosted under the rotating presidency of **China**.

Q-EC9. UKPCS (Pre) 2021

In which year was the SAARC Summit, for the first time, held in India?

A. 1986 B. 1995 C. 2007 D. None of these

Show answer

Explanation: The inaugural SAARC Summit was held in Dhaka, Bangladesh, in December 1985. The second SAARC Summit was hosted by India in Bangalore (Karnataka) in November 1986, marking the first time the summit was convened in India. **Ans: A.** 1986

Q-EC10. UPPCS (Pre) 2025

Which of the following countries is/are NOT a member of the Bay of Bengal Initiative for Multi-Sectoral Technical and Economic Co-operation (BIMSTEC)?

1. Thailand
2. Nepal
3. Bhutan
4. Indonesia

Select the correct answer from the code given below:

A. 2 and 3 B. Only 4 C. 1 and 4 D. Only 1

Show answer

Explanation: BIMSTEC comprises seven member states surrounding the Bay of Bengal: Bangladesh, Bhutan, India, Myanmar, Nepal, Sri Lanka, and Thailand. Indonesia is a member of ASEAN but is not a member of BIMSTEC. Therefore, only option 4 is not a member. **Ans: B.** Only 4

Q-EC11. UPPCS (Pre) 2022

With reference to BIMSTEC, which of the following statements is/are true?

1. P. M. Narendra Modi addressed the 5th BIMSTEC Summit on 30th March 2022.
2. The 5th Summit of BIMSTEC had been chaired by India.

A. Neither 1 nor 2 B. Both 1 and 2 C. Only 2 D. Only 1

Show answer

Explanation: Statement 1 is true: Prime Minister Narendra Modi addressed the 5th BIMSTEC Summit virtually on 30 March 2022. Statement 2 is false: The 5th BIMSTEC Summit was hosted and officially chaired by Sri Lanka in Colombo, not by India. **Ans: D.** Only 1

Q-EC12. UKPCS (Pre) 2024

The Permanent Secretariat of the Bay of Bengal Initiative for Multi-Sectoral Technical and Economic Cooperation (BIMSTEC) is located at:

A. New Delhi B. Colombo C. Dhaka D. Kathmandu

Show answer

Explanation: The Permanent Secretariat of BIMSTEC was officially inaugurated in Dhaka, Bangladesh, in 2014. Kathmandu hosts the SAARC Secretariat, while Jakarta hosts the ASEAN Secretariat. **Ans: C.** Dhaka

10.6 OECD, WTO Institutional Desk, and World Economic Forum

- **Organisation for Economic Co-operation and Development (OECD):** Intergovernmental economic organization of 38 developed economies, headquartered in **Paris, France** (Château de la Muette). Sets international standards on corporate governance, anti-corruption, and Base Erosion and Profit Shifting (BEPS). India participates as a key partner nation.
- **World Trade Organization (WTO):**
- Established on **1 January 1995** under the Marrakesh Agreement, replacing GATT 1947; permanent headquarters located in **Geneva, Switzerland** (Centre William Rappard).
- Director-General: **Dr. Ngozi Okonjo-Iweala** (Nigeria; first woman and first African Director-General).
- Total Membership: **166 nations** (with **Comoros as 165th** and **Timor-Leste as 166th** formally admitted at MC-13 in 2024).
- Decision-making is consensus-based through the General Council and biennial Ministerial Conferences.
- **Ministerial Conferences Host Milestones:**
  - MC-1 (1996): Singapore | MC-4 (2001): Doha, Qatar | MC-9 (2013): Bali, Indonesia (TFA & Peace Clause)
  - MC-10 (2015): Nairobi, Kenya (first MC hosted on African soil) | MC-12 (2022): Geneva, Switzerland
  - **MC-13 (Feb–Mar 2024): Abu Dhabi, UAE** (extended e-commerce customs moratorium; inducted Comoros & Timor-Leste).
  - **MC-14 (2026): Yaoundé, Cameroon** (officially selected as the host; only the **second African nation** to host a WTO Ministerial in history).
- **World Economic Forum (WEF):** Independent non-profit foundation based in **Cologny (Geneva), Switzerland**, best known for its annual meeting at the Alpine resort of **Davos**. Publishes the **Global Competitiveness Report (GCR)** and the **Global Risks Report**.

Q-EC13. UKPCS (Pre) 2016

Which one of the following publishes the ‘Global Competitiveness Index’ report?

A. U.N.D.P. B. World Economic Forum C. World Bank D. None of the above

Show answer

Explanation: The Global Competitiveness Report, containing the Global Competitiveness Index (GCI), is published annually by the World Economic Forum (WEF). In contrast, UNDP publishes the

Human Development Report, and the World Bank publishes the World Development Report. **Ans: B.** World Economic Forum

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Q-EC14. UKPCS (Pre) 2024

In which of the following cities is the central secretariat of the ‘Association of South-East Asian Nations’ (ASEAN) located?

A. Jakarta B. Bali C. Manila D. Hanoi

Show answer

Explanation: The Central Secretariat of the Association of Southeast Asian Nations (ASEAN) was established in 1976 and is permanently located in Jakarta, Indonesia. **Ans: A.** Jakarta

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